POLICY BRIEFING

A Better Plan for Washington's Energy Future

A citizen response to Puget Sound Energy's 2027 Integrated System Plan

Washington Clean Energy Coalition · May 2026 · wacleanenergy.org

Is natural gas our future?

On May 28, 2026, PSE presented the **starting point** for its first combined gas-and-electric plan.

According to PSE's plan:

1

PSE's largest source of new electricity will be gas

Any cost or availability issues will lead to blackouts or high bills.

2

Most customers will stick with gas for 25 years

Does that make sense when gas bills climb to the sky?

3

Customers will pay for excessive emissions

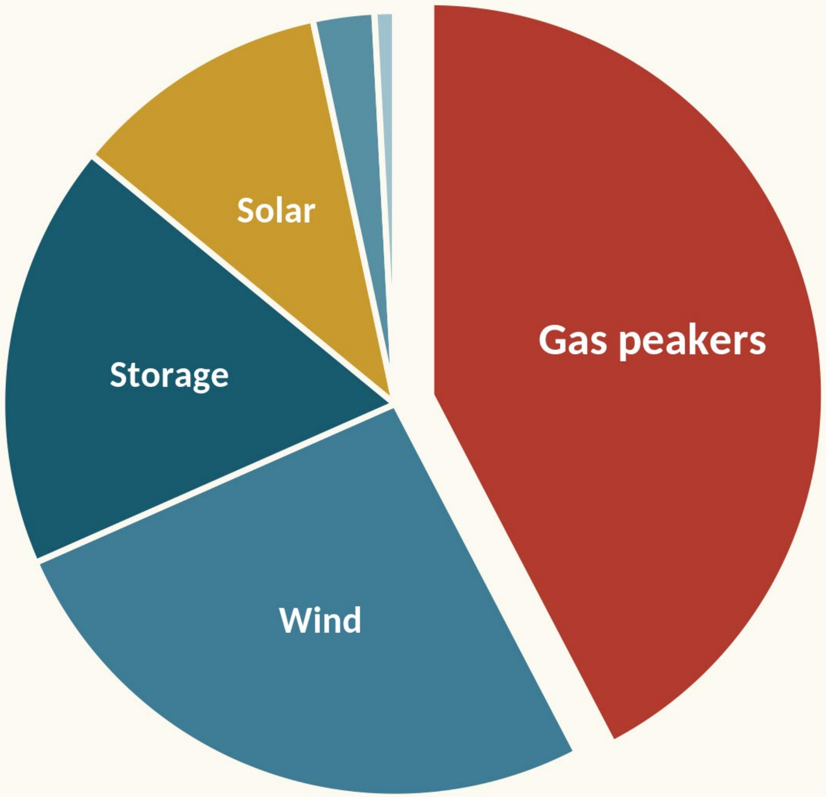
In 2050, customers will pay more for pollution than for the gas they use.

Read PSE's full presentation → 2026_0528_RPAG_Meeting_Final1.pdf

Sources: Puget Sound Energy, 2027 ISP — Resource Planning Advisory Group presentation, May 28, 2026.

Gas is the pillar of PSE's electric plan

Gas is the **single largest source** of new electric capacity PSE will add by 2050 — more than wind and solar combined.



OUR CONCERNS

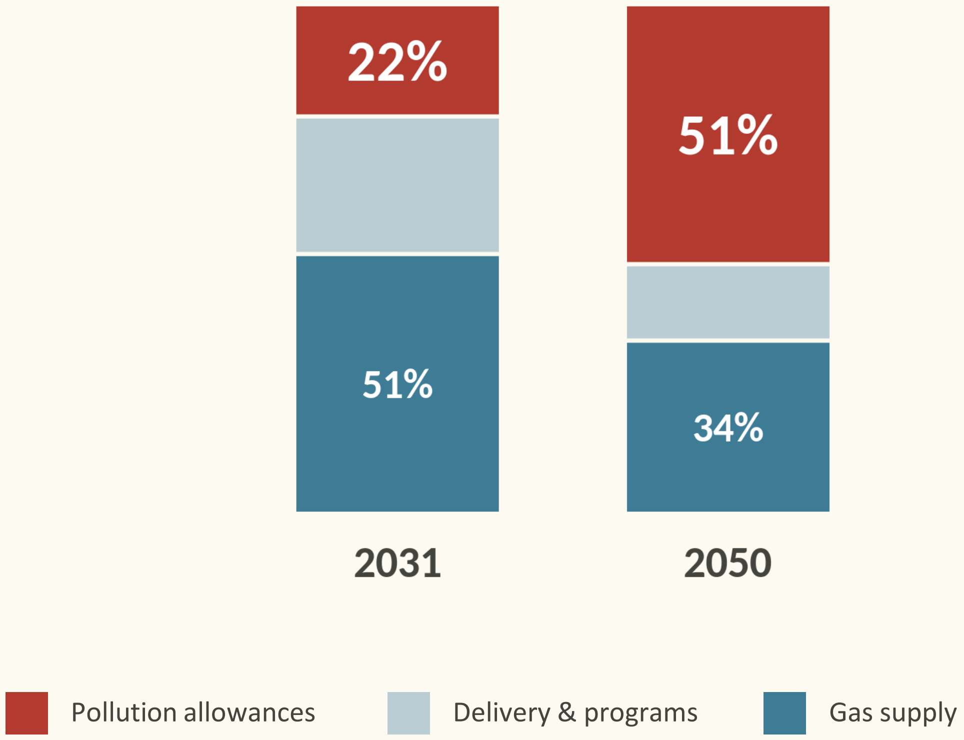
- **Gas supply and prices swing.**
  Fuel cost and availability are volatile and outside PSE's control.
- **Over-reliance puts customers at risk.**
  Leaning hard on one resource invites blackouts or high bills.
- **Washington law mandates no emissions by 2045.**
  PSE has no credible plan to follow the law.

Sources: PSE 2027 ISP (May 28, 2026), slide 30 — Reference B (recommended portfolio), cumulative resource additions by 2050.

PSE makes customers pay for pollution

To keep selling gas, PSE plans to buy **carbon-pollution allowances** that get more expensive each year.

Share of PSE's gas-system cost, by category



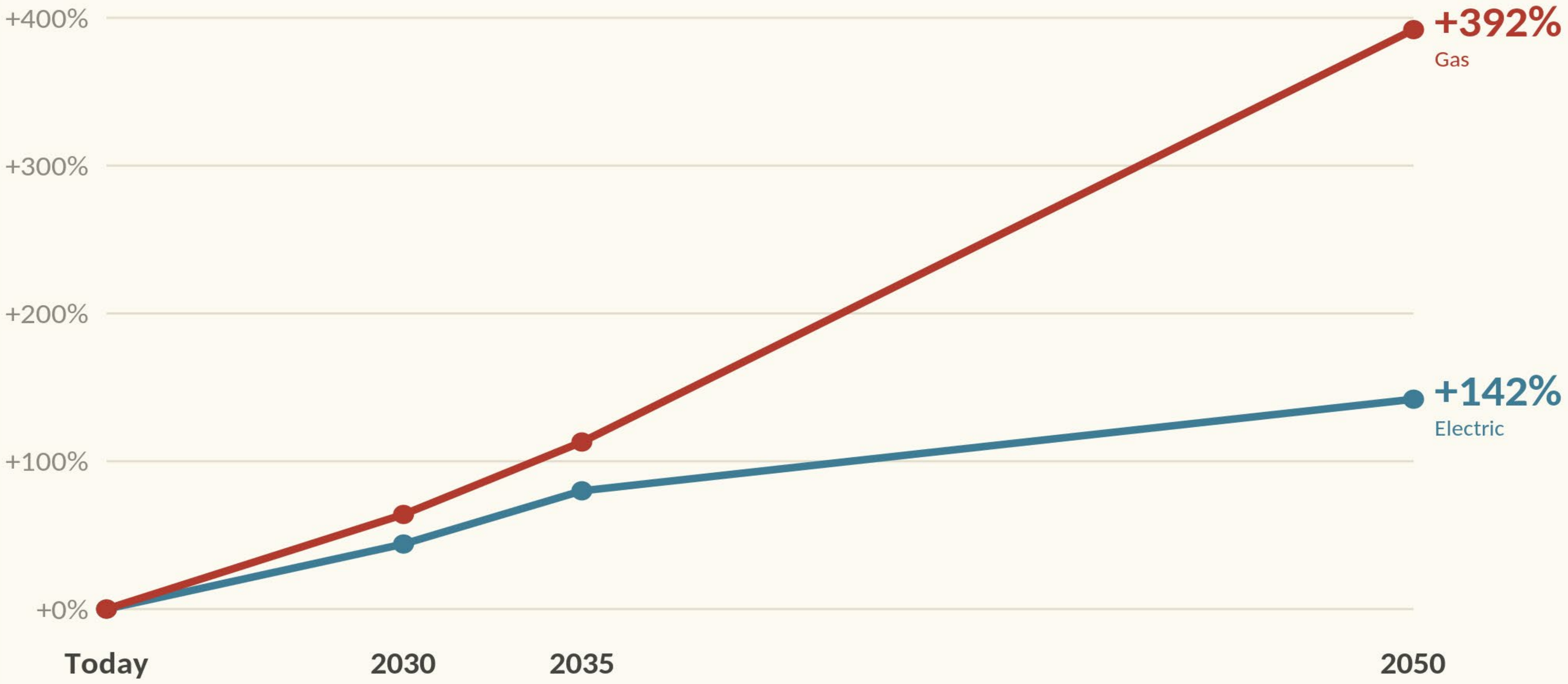
OUR CONCERNS

- **Pollution allowances will be the biggest cost.**
  By 2050, allowances will be the largest single item in PSE's gas-system cost — more expensive than the gas itself.
- **Customers will ultimately pay.**
  PSE's excessive reliance on allowances will increase bills for both gas and electric customers.
- **Cut gas, don't just pay to pollute.**
  The Climate Commitment Act was intended to reduce emissions. We should intentionally reduce gas use, not pay to keep burning it.

Sources: PSE 2027 ISP (May 28, 2026), slide 50 — gas-utility cost breakdown (reference case): carbon allowances 22% of cost in 2031, 51% in 2050.

Gas rates will outrun electric rates

Cumulative rate increase above today's rates — **PSE's own projections.**



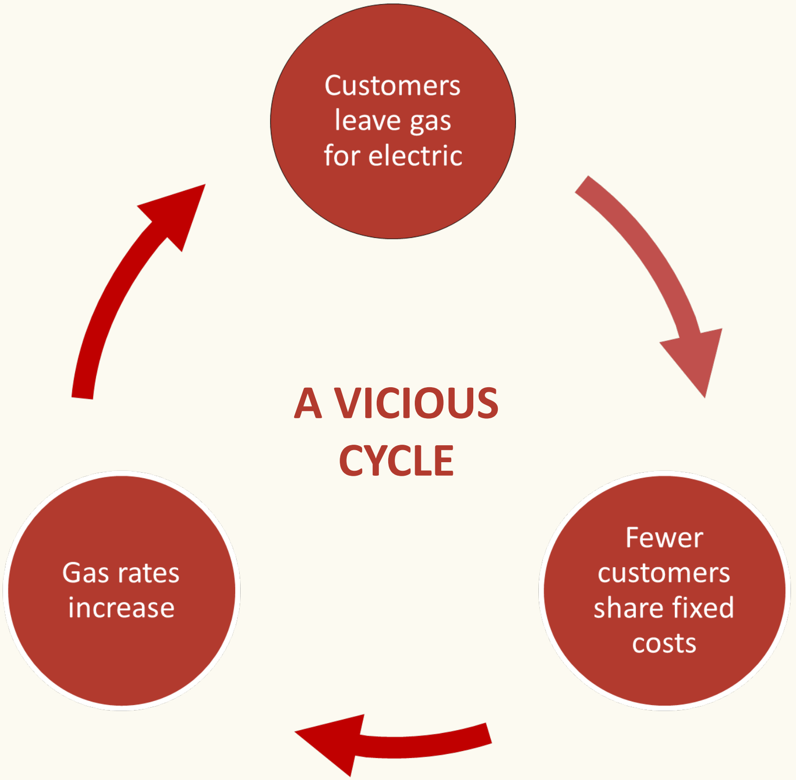
Sources: PSE 2027 ISP (May 28, 2026), slide 49 (electric) & slide 51 (gas) — cumulative rate increase above today's rates.

A QUESTION FOR EVERY PSE CUSTOMER

What would you do if…

- ? Your **gas bill** climbs faster than your electric bill?
- ? A **heat pump** uses less energy than your gas furnace?
- ? You pay PSE for the **pollution** its gas causes?
- ? Your **neighbor switches** — and saves money?

The “stranded customer” scenario



OUR CONCERNS

- **PSE assumes most customers stay on gas.** PSE’s plan sees little linkage between rising gas prices and customers defecting from gas.
- **A trickle could become a torrent.** Departures from gas can accelerate quickly once they start.
- **Those least able to pay are left behind.** Many renters and low-income families can’t afford to switch — yet will shoulder punishing bills to maintain an aging system.

Sources: PSE 2027 ISP, slide 59 (gas customers held flat; usage ~10% lower by 2050) & slide 51 (+392% gas rates). Gas-transition analysis: RMI; NRDC; The Brattle Group.

A BETTER PLAN

Use resources we already own.
Upgrade the grid we have today.
Trim the gas system fairly.

Each of these strategies is working right now in the U.S. They are cheaper, faster to build, better for reliability, and reduce impact on the climate.

OUR SOLUTION

A

Use resources we already own

✓

PSE already operates a Virtual Power Plant (VPP) that pools hundreds of customer devices to meet needs at moments of peak demand. Thousands more devices can be added **instead of firing up a new gas “peaker.”**

- **Build from what customers own** — idle EV batteries, electric water heaters, smart thermostats and home batteries.
- **Voluntary —** customers opt in to earn money by allowing the utility to tap their devices at peak.
- **Cheaper for all** — A VPP lowers everyone’s bills, and rewards people who enroll their clean-energy tech in the VPP.

40–60%

cheaper to enhance a VPP than build a new gas “peaker” for the same peak power. (U.S. DOE)

Sources: U.S. DOE “Pathways to Commercial Liftoff: Virtual Power Plants” (via Utility Dive); ACEEE; Pew Charitable Trusts (2025).

OUR SOLUTION

B

Upgrade the grid we have today

✓

More transmission capacity is needed to import electricity from renewables.
But new transmission lines are expensive and slow.
Instead, use **three proven upgrades:**

- **Reconductoring** — swap old wires for advanced conductors that carry significantly more power on the same towers.
- **Smart (dynamic) line ratings** — sensors let existing lines safely carry more when it's hot or windy.
- **Modern power-flow controls** — devices that steer electricity onto underused lines and clear bottlenecks.

50–75%

cheaper than building new lines — and done in 1–2 years instead of a decade.

Sources: GridLab / Goldman School, UC Berkeley (via Utility Dive); PNAS (2024); pv-magazine (dynamic line ratings).

C

OUR SOLUTION

Trim the gas system with intention

✓

Help customers off gas deliberately. Don't spend on new pipes. Return savings to customers.

- **Provide real incentives to switch** — redirect the billions saved on gas pipes to help households install heat pumps and clean tech. Real assistance, not token rebates.
- **Networked geothermal** — PSE could repurpose pipes to support an underground water loop; ground-source heat pumps draw heat and cooling from the loop — 400-600% efficiency, no flames, no gas bill.

THE PACE GAP

40,000

homes Massachusetts helped switch to heat pumps in 2024

3–5

small electrification projects PSE plans per year — plus one pilot

Sources: PSE 2027 ISP, slide 59 — "3–5 small, cost-effective projects annually," plus the Duvall pilot. MA heat-pump pace ≈40,000 homes, 2024 (Mass Save). Geothermal: Mass.gov.

A word about nuclear

PSE's plan relies on **small modular nuclear reactors (SMRs)** — a technology not yet proven.

- **None are running in the U.S.**
  No commercial SMR operates anywhere in the country today. The flagship U.S. project was cancelled in 2023.

- **No fuel supply at scale.**
  The special fuel these reactors need (HALEU) comes only from a small U.S. demonstration line. Commercial-scale production isn't running yet.

- **Customers carry the risk.**
  SMRs are 3-5 times more expensive than other sources of electricity. The higher cost will show up in customer bills.

OUR POSITION

Keep unproven nuclear out of the plan until a plant has run **safely, on schedule, and at reasonable cost** for several years.

Sources: PSE 2027 ISP, slide 81 (SMR assumed available 2040). U.S. SMR status: Canary Media. HALEU fuel: Centrus Energy / U.S. DOE; World Nuclear Association.

Two divergent plans

	PSE's preliminary plan	A better plan
Customer rates	✗ Gas rates +392%, electric +142% by 2050	✓ Build on the cheapest proven resources first
Stranded customers	✗ Assumes few switch from gas to electricity — costs of gas likely understated	✓ Anticipates falling gas demand & protects those left behind
Who pays	✗ Falls hardest on those least able to switch	✓ Shares costs fairly; helps households switch
Reliability	✗ Leans on tech not yet built (reactors ~2040)	✓ Proven home power, storage & upgraded lines
Speed to build	✗ Nuclear 6–10+ yrs; new transmission ~10 yrs	✓ Line upgrades and demand-side resources 1–2 yrs,
Emissions	✗ Allowances exceed PSE's fair share after 2035	✓ Real emission cuts; gas system shrinks equitably

Sources: PSE figures from PSE 2027 ISP (May 28, 2026); alternatives per the citations on the final slide.

THE BOTTOM LINE

Washington can build a cleaner, more reliable, lower-cost system based on proven solutions while trimming the gas system fairly.

Let’s get this right.

Washington Clean Energy Coalition

wacleanenergy.org

Sources & references

Every figure in this briefing is drawn from PSE’s own filing or from published, citable analysis.

PSE’s plan	Puget Sound Energy, 2027 Integrated System Plan — RPAG presentation, May 28, 2026 (resource builds sl. 30; gas-cost breakdown sl. 50; rate increases sl. 49/51; flat gas customers sl. 59; emissions vs. fair share sl. 52; SMR availability sl. 81).
Gas system “stranded customers”	RMI, “Avoiding a Gas Utility Death Spiral”; NRDC, “The Gas Transition Quandary”; The Brattle Group; Energy Innovation.
Washington law	Clean Energy Transformation Act (WA Dept. of Commerce; UTC); Climate Commitment Act & HB 1975 allowance ceiling (WA Legislature); HB 1589 / Integrated System Plan rules (PSE; WA UTC).
Grid upgrades	GridLab / Goldman School, UC Berkeley (via Utility Dive); PNAS (2024); pv-magazine (dynamic line ratings).
Networked geothermal & gas transition	Eversource Framingham (Utility Dive; Mass.gov); NY thermal-energy-network pilots (NY-GEO); heat-pump adoption pace ≈40,000 homes in 2024 (Mass Save / Massachusetts DOER); line-extension reform (Building Decarbonization Coalition).
Nuclear (SMR) status	No commercial U.S. SMR operating; flagship project cancelled 2023 (Canary Media). HALEU fuel only at demonstration scale (Centrus Energy / U.S. DOE; World Nuclear Association).
Other emerging tech	Small modular reactors (Canary Media); enhanced geothermal (U.S. DOE / pv-magazine).